

constant percentage of the remaining portfolio balance each year—resulting in a great deal of spending volatility—moving average rules seek to spend a constant percentage of the average portfolio balance over the previous few years. Most frequently, the average portfolio value over the previous three years or twelve quarters is multiplied by a spending rate to determine the feasible spending amount for a given year. This approach allows spending to adjust somewhat more gradually over time than with a pure fixed-percentage rule. Exhibit 6.8 provides an example of a 4 percent spending rule based on the average remaining portfolio balance during the previous three years. In practical terms, this rule ends up behaving closely to the fixed-percentage rule. Volatility for spending will be slightly less, but a very similar overall experience can be observed in the historical data.

Exhibit 6.8

Time Path of Real Spending and Wealth

Endowment Formula—Three-Year Moving Average

*For 4% Initial Spending Rate, 50/50 Asset Allocation, Rolling 30-Year
Retirements*

*Using SBBI Data, 1926–2016, S&P 500 and Intermediate-Term Government
Bonds*